

CREDIT RISK & CREDIT POLICY

Credit Underwriter AI | Enterprise Portfolio Knowledge Base

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Effective Date	01 August 2026
Owner	Credit Risk Management
Review Cycle	Annual or on material change

1. Purpose

Define the credit-risk assessment framework used by the Credit Risk Agent and Loan Decision Agent, including score interpretation, affordability, adverse indicators, model controls and manual review.

2. Scope

This fictional internal policy is designed for the Credit Underwriter AI portfolio project. It supports automated underwriting, human review, auditability and policy-aware AI explanations. It is not a policy of any real financial institution.

3. Credit Assessment Framework

- Assess repayment capacity, credit history, leverage, stability, recent credit behaviour and application consistency.
- Use verified financial information wherever available.
- Separate model-derived risk signals from deterministic policy rules.
- Treat missing or low-quality data as an uncertainty signal, not as proof of low risk.

4. Illustrative Risk Score Matrix

Score	Category	Default Probability Guide	Treatment
0–29	Low	0–29%	Standard processing subject to policy
30–59	Medium	30–59%	Enhanced assessment/manual review depending on other signals
60–100	High	60–100%	Mandatory manual underwriting

5. Credit Decision Factors

Factor	Examples	Effect
Repayment capacity	DTI/FOIR, disposable income	Primary affordability signal
Credit history	Delinquencies, utilization, enquiries	Risk adjustment
Stability	Employment/income continuity	Risk adjustment
Leverage	Existing obligations, total exposure	Risk adjustment
Application consistency	Conflicting declarations/evidence	Review trigger
Recent behaviour	New credit, unusual borrowing patterns	Enhanced scrutiny

6. Adverse Credit Indicators

- Recent material delinquency or default indicators.
- High revolving utilization or rapidly increasing unsecured exposure.

- Multiple recent credit enquiries where relevant.
- Unexplained income-to-obligation mismatch.
- Material discrepancies between declared and verified financial information.

7. Model Governance

- Model version and feature set must be recorded with each risk result.
- Risk scores must be reproducible from the stored decision snapshot where technically feasible.
- Model output must be monitored for data drift, performance degradation and unexpected score distributions.
- Fallback handling must exist for missing features, model errors and unavailable model services.
- Model output must not be used to conceal prohibited or non-permitted decision criteria.

8. Manual Review Rules

- High risk automatically requires manual review.
- Medium risk with compliance warning, fraud concern or affordability exception requires manual review.
- Material model/data-quality failure requires manual review.
- Underwriter may request additional evidence before final decision.

9. Explainability

- Top contributing factors
- Risk score and probability
- Data quality flags
- Policy rules triggered
- Evidence references
- Recommended next action

Document Control

Version	Date	Change
1.0	01 August 2026	Initial enterprise-style portfolio knowledge-base document

Important Disclaimer

All numeric thresholds, approval limits, scoring bands and operating procedures in these internal documents are illustrative project controls. They must not be presented as universal regulatory requirements. Regulatory content is maintained separately in the RBI Guidelines document and should be refreshed from authoritative RBI sources before any real-world use.